

Municipal Bond Market Monthly Brief: August 2026

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Monthly Summary

Municipals (munis) lost ground in August as yields rose across the curve. The Bloomberg Municipal Bond Index returned -0.23% month-to-date (MTD), reducing its year-to-date (YTD) gain to +0.20%. Lower-rated credit continued to outperform, with the Muni High Yield Index leading at +2.74% YTD with a +0.22% MTD return. Munis trailed Treasuries and corporates for the month; those sectors returned +0.31% and +0.43%, respectively, but munis are still outperforming both YTD.

Supply continued at a record pace in August, with YTD issuance roughly 8% ahead of last year. While strong mutual fund and ETF demand remained supportive, September's expected net positive supply should provide an important test of market technicals and investor appetite.

Fundamentals remained supportive, underpinned by steady employment, solid capital market returns, and well-funded state and local reserves. Downgrades continued to weigh on the education sector, where enrollment declines have pressured school district revenues.

Be sure to read Jennifer Johnston's latest installment, *Balanced Budgets, Uneven Pressures*, in which she reflects on the US fiscal year 2027 budget season and explores the fiscal trends driving increasingly divergent credit outcomes across municipal issuers.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default. Changes in the credit rating of a bond, or in the credit rating or financial strength of a bond's issuer, insurer or guarantor, may affect the bond's value. Derivative instruments can be illiquid, may disproportionately increase losses, and have a potentially large impact on performance. An investor may be subject to the federal alternative minimum tax, and state and local taxes may apply. Diversification does not guarantee a profit or protect against a loss.

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